

E-Commerce Revenue Drop Analysis - Complete Project Lifecycle

1. Business Problem

An e-commerce company has reported an 18% decrease in revenue compared to the previous period. The business wants to identify the reasons behind the decline and find ways to improve revenue.

2. Requirement Gathering Questions

- When did the revenue decline start?
- Which products/categories are most affected?
- Has customer retention changed?
- Has website traffic decreased?
- Were there marketing or pricing changes?
- Were there inventory shortages?

3. KPIs

- Total Revenue
- Revenue Growth Rate
- Total Orders
- Average Order Value (AOV)
- Conversion Rate
- Customer Retention Rate
- Customer Acquisition Cost (CAC)
- Return on Ad Spend (ROAS)

4. Data Needed

Sales Data, Customer Data, Product Data, Marketing Data, Website Traffic Data, Inventory Data.

5. Analysis Plan

1. Revenue Trend Analysis
2. Product Performance Analysis
3. Customer Analysis
4. Marketing Analysis
5. Website Funnel Analysis
6. Root Cause Analysis

6. Possible Insights

- Orders decreased.
- Customer retention declined.
- Marketing campaign performance dropped.
- Conversion rate decreased.
- Inventory shortages affected sales.

7. Recommendations

- Launch targeted campaigns.
- Improve customer retention.
- Optimize website experience.
- Improve inventory planning.
- Focus on top-performing products.

8. Business Decisions

Short-Term: Discounts, promotions, restocking.

Medium-Term: Loyalty programs and website optimization.

Long-Term: Forecasting models and category expansion.

Conclusion

The revenue decline is likely caused by lower retention, reduced conversions, weaker marketing performance, and inventory issues. Corrective actions can help restore growth.